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substantially over the past few years. Is this reliance on China a challenge for the Indian economy?

It is true we have a high trade deficit with China, but a deficit with a particular country doesn't pose a problem as long as our overall deficit is manageable. China is a very competitive producer of many

manufactured goods and if they are the cheapest, we should buy from them.

However, I agree there are some areas where imports from China do present problems. One relates to imports of sophisticated semiconductor chips used in defence and other networks, such as banking and the financial system,

telecommunications, air traffic control. These can pose a threat to security if they allow unauthorised persons to access the network. Such items should either be produced domestically, or if imports are unavoidable, they should be sourced only from trusted sources.

Another problem area

is critical minerals, where China has exercised leverage by denying exports. The solution in such cases lies in diversifying our sources. Many countries face this problem, and we have common interests with them. We need to develop close cooperation with these countries. **BT**

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